

Tesla, Inc.
TSLA NASDAQ

Hold \$327.66 ▼ 1.55% 12M Price Target \$340.00 52-Week Range \$297.38 – \$498.83

Market Cap \$1.29T

TSLA: China Share Slipping, Musk Pay Package Looms Large

WHAT HAPPENED

- Stock is down 1.55% on very light volume (5M vs usual 25-30M) — that low volume tells me this isn't panic selling, it's a quiet drift lower after a 4-day win streak. The catalyst: Geely officially overtook the Model Y as China's top-selling EV, which is a real dent in the growth story since China is Tesla's #2 market.
- The other headline moving sentiment: chatter about a potential \$824B Musk pay package being revived. Bulls love it (keeps Musk locked in), bears hate the dilution — and the unusual put buying at \$340 strike (~11,000 contracts) suggests some big players are hedging near-term downside.

WHY IT MATTERS

Losing the #1 spot in China to Geely is more than a headline — it signals Tesla's aging lineup (Model Y refresh notwithstanding) is getting outpaced by cheaper, tech-forward Chinese rivals, and this trend probably accelerates before it reverses. The stock sitting at just 15% of its 52-week range tells you the market has already digested a lot of bad news, but it's also not pricing in a real recovery catalyst yet. Watch the Musk pay package vote closely — if it passes, expect a short-term pop on "Elon is staying" relief, but the dilution math (roughly 12% of shares outstanding) is a longer-term overhang nobody's fully modeling. The bullish options flow (P/C ratio 0.99 with call buying at \$245) suggests traders are positioning for a binary outcome, not steady grind.

POLICY & POLITICAL WATCH

The big policy story hanging over Tesla: the \$7,500 federal EV tax credit expired under the Trump administration's rollback of Biden-era IRA provisions, which structurally raises the effective price of every Tesla sold in the US — this is a headwind that hasn't fully played out in the numbers yet. On the flip side, the administration's push for federal robotaxi/AV regulatory framework (versus a state-by-state patchwork) would be a massive tailwind for Tesla's FSD and Cybercab rollout — watch for NHTSA guidance updates this fall. Tariffs on Chinese battery components are also a double-edged sword: they hurt Tesla's cost structure but hurt Chinese competitors selling in the US more.

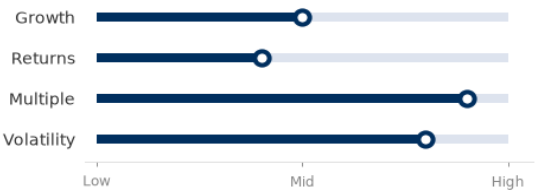
IS IT EXPENSIVE?

At \$328, you're paying roughly 150x forward earnings — meaning investors are shelling out \$150 for every \$1 of profit Tesla is expected to make next year. For context, Toyota trades at ~10x and even Nvidia trades at ~35x. The only way this math works is if you believe robotaxi and Optimus (humanoid robots) turn Tesla into an AI/robotics company, not a car company — that's the entire bull thesis, and it's a leap of faith right now.

Key Data

Price (USD)	\$327.66
12M Price Target	\$340.00
Upside / (Downside)	+3.8%
Market Cap	\$1.29T
FY2026E Revenue	\$108M
FY2027E Revenue	\$128M
FY2026E EPS	\$2.15
FY2027E EPS	\$3.10
Fwd P/E	152.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$355.00	\$330.00	\$305.00
6 Months	\$420.00	\$340.00	\$270.00
1 Year	\$500.00	\$340.00	\$240.00
2 Years	\$650.00	\$380.00	\$200.00
5 Years	\$900.00	\$450.00	\$180.00
10 Years	\$1500.00	\$600.00	\$150.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+1.87% 5D) and Energy (+6.05% 5D) — tech is riding the AI capex wave, energy is benefiting from geopolitical premium and administration-friendly drilling policy

COOLING OFF: Real Estate (-2.19% 5D) — rate cut expectations getting pushed out is squeezing REITs

ROTATION WATCH: Money is rotating into energy and mega-cap tech, but Tesla is stuck in no-man's-land — it's not seen as pure tech (auto exposure) and not seen as pure AI (execution risk on robotaxi). That's why it's underperforming the tech ETF today.

RELATED PLAY: If you believe the robotaxi thesis, the picks-and-shovels play is NVDA (chips powering FSD) and lidar/sensor companies. If you're bearish Tesla specifically, BYD (OTC: BYDDY) is the direct beneficiary of Chinese share gains.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Riding sustained AI infrastructure spending — every hyperscaler capex announcement is a tailwind
- GEELY/BYD (Chinese EV makers): Directly taking Tesla's China share with cheaper, better-equipped vehicles

TSLA CONTEXT: Tesla is LAGGING the tech sector today (-1.55% vs XLK +1.77%) — that's a meaningful tell. When your stock can't rally on a green tech day, the market is telling you something specific to the name isn't working. Watch if this divergence persists — that's a signal to trim, not add.

WHAT I'D DO WITH THIS STOCK

5/10 Conviction Score

CONVICTION: 5/10 — Cautiously neutral. The optionality is real but the valuation gives you no margin for error, and the China data is genuinely concerning.

POSITION SIZE: 2-3% max — this is a high-volatility name where you want exposure to the robotaxi upside but can't afford to be overweight if the story breaks

ENTRY POINTS: I'd wait for pullbacks to \$300-310 (near the 52-week low support). Chasing at \$328 with fading momentum and China headwinds isn't the smart trade

TIME HORIZON: 12-24 months — you need to see robotaxi actually scale to multiple cities and generate real revenue for the thesis to work

WHEN TO BAIL: If Q3 deliveries drop more than 10% YoY, or if robotaxi expansion stalls at Austin only through year-end, cut the position

HEDGING: Simplest hedge — buy some put options (contracts that pay off if the stock falls) at the \$300 strike expiring 3 months out. Costs a small premium but protects you if the China story gets uglier fast